FTAI Aviation (NASDAQ: FTAI)

Long Recommendation (1-Year Target $304, +54%)

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A compounder still priced for a fraud.

FTAI AVIATION

$198

Share price (11/9/26)

$304

1-year target (+54%)

~3x

Reward-to-risk (+117% / –43%)

31%

Q3'26 Aerospace margin: the trough holds

I. Margins have bottomed at ~30%: the fraud unwind is <8% of inventory

II. FTAI catches the CFM56 work OEMs and airlines are sending out

III. Power is a free call option on the grid gap

Opportunity Summary – A Compounder Still Priced for a Fraud

The Set-up: A Short Report That Never Proved Out, and a Margin Reset That Looked Like Proof

1. **FTAI trades under a fraud overhang**: Muddy Waters (Jan-25) alleged depreciated leasing engines were moved into Aerospace inventory at book value, inflating margins; the stock fell 24% in a day. An audit-committee review found the claims without merit and nothing was restated, yet the discount never closed.

2. **The 1H26 reset looked like confirmation**: Aerospace margin fell ~500 bps in one quarter and management swapped its 40% target for ~30%. The market read it as the cheap leasing stock running out – the short thesis finally unwinding – and even after Q3's rebound the stock sits ~39% below its $324 high at 10.6x FY27E EBITDA.

We believe the reset is a choice, not a confession – and place three trackable bets on FTAI.

Two observations underpin our theses: (i) even if the bears were right, leasing-sourced engines are <8% of inventory and (ii) the CFM56 aftermarket is supply-constrained, so FTAI chose volume over margin.

1. **Margins have bottomed at ~30%:** Q1'26 leasing transfers were $90M against ~$1.4bn of inventory, and engines now flow the other way. Heavy-scope mix is capped by shop capacity, and PMA enters through SCI, where FTAI is the lessor. Q3'26 printed 31%; one more ~30% print proves the trough.

2. **FTAI takes the CFM56 whitespace to ~25% share:** OEMs and MROs are moving capacity to LEAP while LEAP problems keep CFM56s flying. FTAI's 3,000-module capacity is already built; Q3 built 311 modules, up 50% y/y, at ~15% share.

3. **Power is a free call option:** Mod-1 hit 25 MW in testing and ≥100 units are under contract for 2027–28; the grid falls 8–47 GW short from 2029. Today's price pays nothing for it.

Q3 printed 31%; we need one more ~30% print. At $198 the market pays for margins and little else; we see $304 in a year, 54% upside, with ~3x reward-to-risk.[1]

Source: Company Filings, Muddy Waters Research (Jan-25), Earnings Calls, Bloomberg

1. 1-year base-case sum of the parts (Oct-27); reward-to-risk = bull upside (+117%) / bear downside (–43%) vs. $198 (11/9/26).

Business Overview – A Module Factory Scaling Through a Margin Reset

($ in millions)

FTAI offers 1) a CFM56 aftermarket business still winning share, 2) an asset-light leasing arm that feeds it, and 3) a new Power segment

Business Segments

1) **Aerospace Products** (77% of FY25 Revenue, 52% of Segment EBITDA[1]):
   - Swaps restored fan, core and LPT modules from its own pool: engines back in 5–25 days vs. 120–180 at a shop
   - Feedstock is run-out engines bought from airlines, lessors and SCI; also sells used serviceable parts
   - 757 modules (FY25) → 1,200 (FY26E) → 1,700 (FY27E); 877 built through Q3; CFM56 module share ~10% → ~15% (Q3'26)[2]
   - Margin reset from ~35% to ~30% in 1H26 on heavier workscopes and airline deals; 31% in Q3'26

2) **Aviation Leasing + SCI** (23% of FY25 Revenue, 48% of Segment EBITDA):
   - Going asset-light: aircraft sold into SCI, an FTAI-sponsored fund ($2.0bn equity, ~$6bn buying power)
   - FTAI services SCI's fleet and receives all of its engine work: SCI grows from 130 to ~316 aircraft by YE26E

3) **FTAI Power** (launched Dec-25; $450–750M FY27 EBITDA guidance):
   - Converts CFM56 cores into 25 MW "Mod-1" gas turbines (~$1M per MW) sold as bridge power to AI data centers
   - First order $1.465bn (Jul-26) via J&F, FTAI's JV with Jereh; delivered in batches through Nov-27; >100 units under contract for 2027–28 (Q3'26)

Key Aerospace Financials (FY25)	
Aerospace Revenue	**$1,936**
FY26E Revenue Growth (%)	*79.4%*
Aerospace Adj. EBITDA	**$671**
EBITDA Margin (%)	*34.7%*
Q3'26 EBITDA Margin (%)	*31.0%*
Modules Produced	**757**
FY26E Guidance	*1,200*

Cap Table	
Share Price (As of 11/9/26)	$198.00
(x) Diluted Shares	104.0
Market Cap	**$20,592**
(+) Total Debt	3,456
(–) Cash	(386)
(+) Preferred Equity	65
Enterprise Value	**$23,727**
EV / FY26E Adj. EBITDA	18.1x
EV / FY27E Adj. EBITDA	10.6x

Earnings Algorithm for Aerospace Products

Module Demand × FTAI Share × Revenue per Module × EBITDA Margin

[Fleet × Shop-Visit Rate × 3] × [3rd-Party Share + SCI Captive] × [Price + OEM Escalator] × [Mix + Feedstock + PMA]

Industry Demand | **Thesis II: Share** | **Pricing** | **Thesis I: Margin**

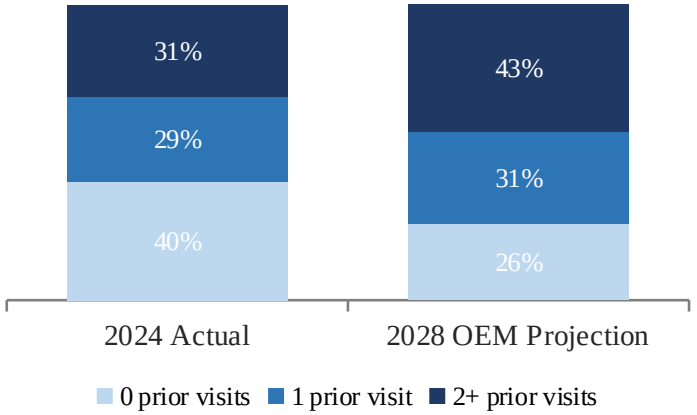
Source: Company Filings, Earnings Calls, Investor Presentation

1. Segment EBITDA mix excludes Corporate & Other.
2. Module share of CFM56 third-party module demand, per management (Q3'26). Cap table: Q3'26 balance sheet; shares pre-ASR.

Industry Overview – A Price-Taking Aftermarket Entering Its Heaviest Years

The CFM56 aftermarket is aging into heavier visits, with flat demand through 2028 and repair prices compounding ~6% a year. FTAI chose share over margin in 1H26 – a deliberate reset the market reads as structural.

The CFM56 fleet is aging into repeat, heavier visits...



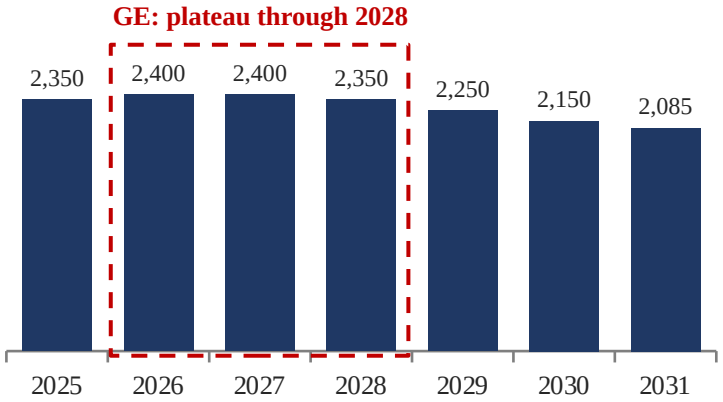
22,700

CFM56-5B/-7B engines in service: the largest fleet in aviation

43%

of the fleet on its third or later visit by 2028, when full restorations dominate

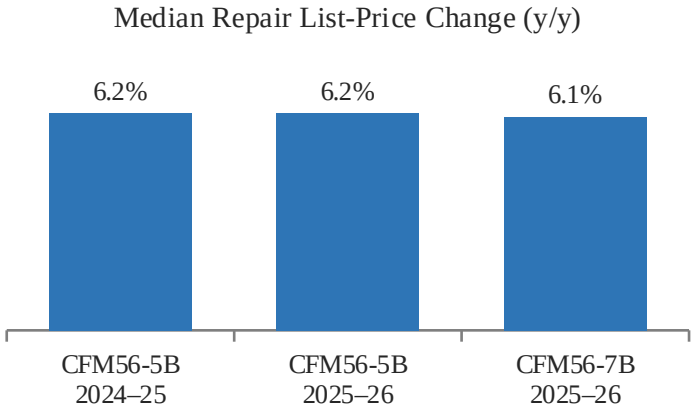
... keeping shop-visit demand flat through 2028...



Retirements running 1.5–2% vs. GE's 2–3% assumption

LEAP durability fixes cut over only in early 2027; GTF groundings persist

... while third-party repair prices compound ~6% a year...

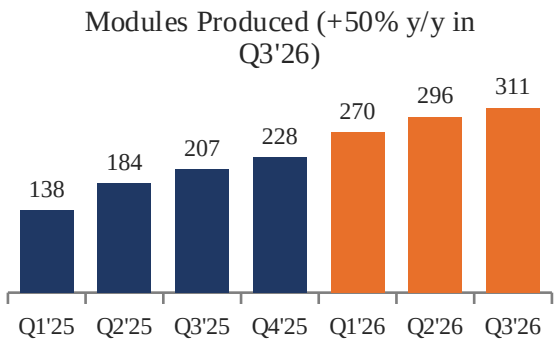


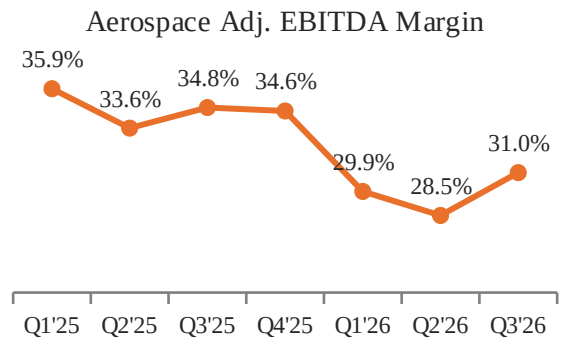
Of 3,404 matched repair packages, 3,376 rose and only 1 fell

FTAI prices below OEM and has not passed through the escalator: headroom we model from FY28

However, FTAI deliberately traded margin for share in 1H26.

"We're inclined to say yes and take market share." – FTAI CEO, Q2'26 Earnings Call





Source: GE / Safran shop-visit outlook & cohort data, Aviation Week, SR Technics CFM56 catalogues (2024–26), Company Filings

The Story: The Fraud Discount Frames Our Three Bets

Consensus FTAI Story

FTAI's margins were flattered by the fraud. Now that it is unwinding:

1. The ~500 bps reset is the short thesis unwinding: cheap leasing engines are running out, and heavier workscopes push margin below 30%.
2. The CFM56 is a melting ice cube: the fuel shock accelerates retirements and FTAI's share gains stall at ~15%.
3. Power is a press release: one unnamed buyer, no deliveries until 2027 and no proof FTAI can ramp units.

Thus, consensus prices a fraud discount on a shrinking business: 10.6x FY27E EBITDA.

Why consensus misses our points

We did the work the market skipped:

1. The market never sized the claim. We traced leasing-to-inventory transfers in the 10-Qs: $90M vs. ~$1.4bn of inventory, and the flow now runs the other way.
2. The street models retirements off assumptions. GE's own 2026 data shows 1.5–2%, and OEMs are moving slots to LEAP, leaving visits to FTAI.
3. Power is valued off one order. We built a NERC reserve-shortfall model and a site-level next-order model across 37 AI campuses.

Diligence: 10-Q cash-flow footnotes, GE retirement data, SR Technics catalogues, NERC LTRA, site permits.

Our FTAI Story

The reset is a choice to win share in a supply-constrained market.

1. ~30% is the floor, not a waypoint: heavy mix is capped by capacity, PMA enters through SCI, and price pass-through rebuilds margin to 32.5%.
2. FTAI fills the whitespace OEMs leave behind: built capacity and partner shops take it to ~25% of CFM56 module demand incl. SCI.
3. Power is a call option now paying: >100 units under contract for 2027–28 vs. 45 in our FY27 base; each ~1 GW more is ~$35/share.

Catalysts: Q3'26 printed 31% (29-Oct); investor day (10-Dec); Q4'26 print and FY27 guide (Feb-27).

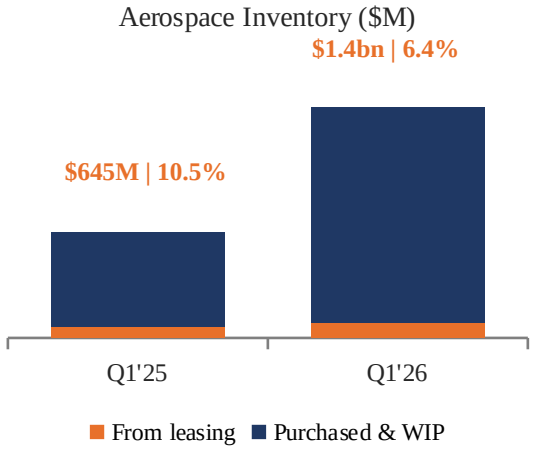
Taking the other side of the fraud discount is a highly attractive proposition: Q3 printed 31%, and one more ~30% print proves the trough. Our bets playing out yield $304 in a year, 54% upside.

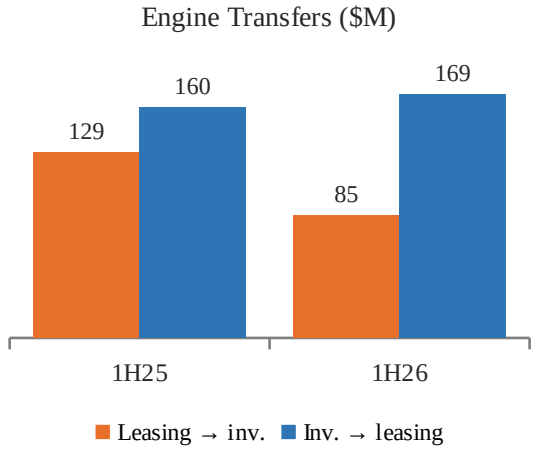
Thesis I: Variance on Margins – The Unwind Is Done and Heavy Mix Has Peaked

Bears read the 1H26 reset as the fraud unwinding; the 10-Qs show leasing-sourced stock is <8% of inventory.

"AP inventory has been largely comprised of depreciated Leasing Equipment", producing margins ~10 pts above peers. – Muddy Waters, Jan-25

- **Small:** Q1'26 leasing-to-inventory transfers were $89.6M vs. ~$1.4bn of inventory (6.4%), down from 10.5% a year earlier as purchased feedstock scaled
- **Reversing:** $169M moved back from inventory to leasing in 1H26 for rebuild and sale – more than came in
- **Shrinking source:** leasing equipment fell $2.06bn → $1.53bn (Dec-25 → Jun-26) as aircraft are sold into SCI
- **Bought at market:** new feedstock comes from United run-outs (Oct-26 MRE), WestJet 737-700s (Sep-26) and AAR used parts
- **Already in the bear case:** 6.4% × ~40% cost edge × ~55% material ≈ ~140 bps of margin[1]; audit review found the claims without merit

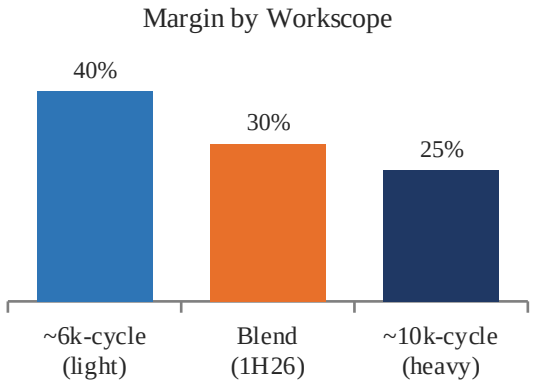




With the unwind done, the reset is workscope mix – and the shift to heavy work has peaked.

~6,000-cycle engine ~40%, ~10,000-cycle ~25%, blend ~30%: "similar dollars per engine, but more investment." – FTAI CEO, Q2'26[2]

- **Capacity-capped:** heavy jobs need core disassembly and test cells (~50% of visits open the core); Jakarta's heavy shop only adds capacity from 2027
- **No incentive:** heavy work was the price of winning airline contracts – United is signed (V2500 exchange, then CFM56-7B MRE), so more heavy jobs add capital, not customers
- **FTAI chooses:** "supply-constrained, not demand-constrained" (Q2'26) – it turns work away; the 2027 plan targets volume (1,700 modules), not heavier jobs
- **Slow fleet drift:** visits needing broader work rise only 48% → 52% by FY30; the 1H26 step-change was a one-quarter mix shift



Mix back to light = margin

Light share	Margin
33% (1H26)	30.0%
40%	31.0%
50%	32.5%
60%	34.0%

Each 10 pts of mix back to light adds ~1.5 pts; our base case assumes none

Even granting the short thesis, it is <8% of the stock – and heavy mix is capacity-capped: ~30% is the floor, not a waypoint.

Source: 10-Q disclosures, Muddy Waters, Earnings Calls, In Practise, OEM cohort data

1. Illustrative: stock share × cost edge vs. market feedstock × material share of revenue. 1H26 transfers per Q2'26 10-Q summary.
2. Paraphrase of the CEO's cycle/margin example; quoted phrase per call summary.

Thesis I: Variance on Margins – PMA Via SCI and One More Print Re-Rate the Trough

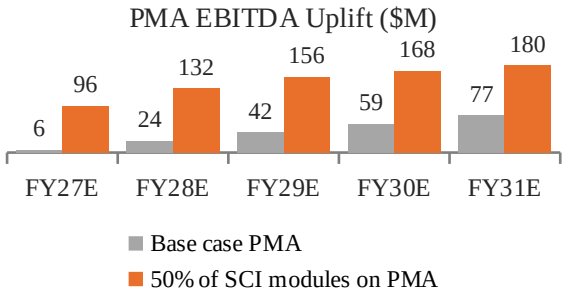
The market prices ~0% PMA and reads 30% as a waypoint; FTAI controls its own PMA channel and only needs 30% to hold.

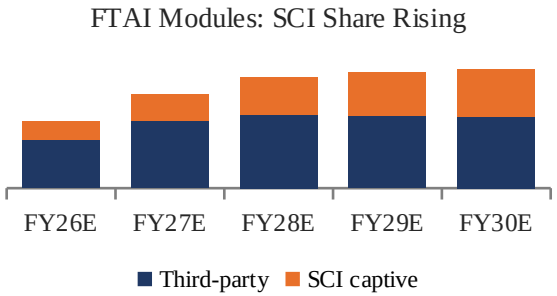
PMA: at SCI, FTAI is the lessor that says yes

PMA hesitation sits mainly with lessors – conformity, residual values, return conditions – though it is "softening." – AviTrader, May-26

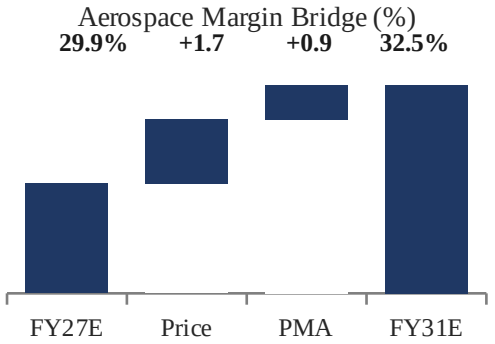
FTAI sponsors SCI $2.0bn equity ▸ **SCI owns the jets** SCI is the lessor ▸ **Engine work → FTAI** FTAI is servicer ▸ **FTAI sets parts policy** no outside consent

- **Program built:** Chromalloy has 3 of 5 CFM56 hot-section PMA parts approved, incl. the HPT blade (Oct-25, >7 yrs, >$100M); "80% of the savings come from the first three parts" (Chromalloy CEO)
- **Captive channel:** SCI grows from 11% to ~40% of FTAI's modules (130 → 700 aircraft) – ~4x our base-case PMA penetration, no outside lessor needed
- **Worth:** 50% of SCI modules on PMA at $0.4M each = ~$130M of FY28 EBITDA (~2.1 pts of margin, ~$20 / share)
- **Diligence:** SCI's LP / lender terms on PMA are not disclosed





Price and PMA rebuild margin; Q3 printed 31%, one more proves the trough



- **Price:** repair catalogues rose a median 6.2% / yr across 3,404 matched packages (3,376 up, 1 down); FTAI priced below OEM to win share – we pass through half from FY28
- **Per module:** EBITDA $913K → $1,139K (FY27E → FY31E)
- **No mix recovery** and no outside-lessor PMA in the base case

Q3'26 | 29-Oct ✓	Delivered: Aerospace margin 31% on record $910M revenue; 311 modules (+50% y/y); 1,200 reaffirmed
Inv. day | 10-Dec	2027 framework: 1,700 modules, Jakarta / Cairo ramp, SCI II size, Power backlog
Q4'26 | Feb-27	Second ~30% print + FY27 guide: 30% stops reading as a waypoint

What $198 implies for Aerospace

Aero EV / NTM EBITDA (Oct-27)	7.2x	10x	12x	13.7x
Implied price / share[1]	**$198**	$244	$277	**$304**
Upside vs. $198	–	+23%	+40%	+54%

On base earnings, $198 pays only ~7x for Aerospace a year out; each turn ≈ $16 / share.

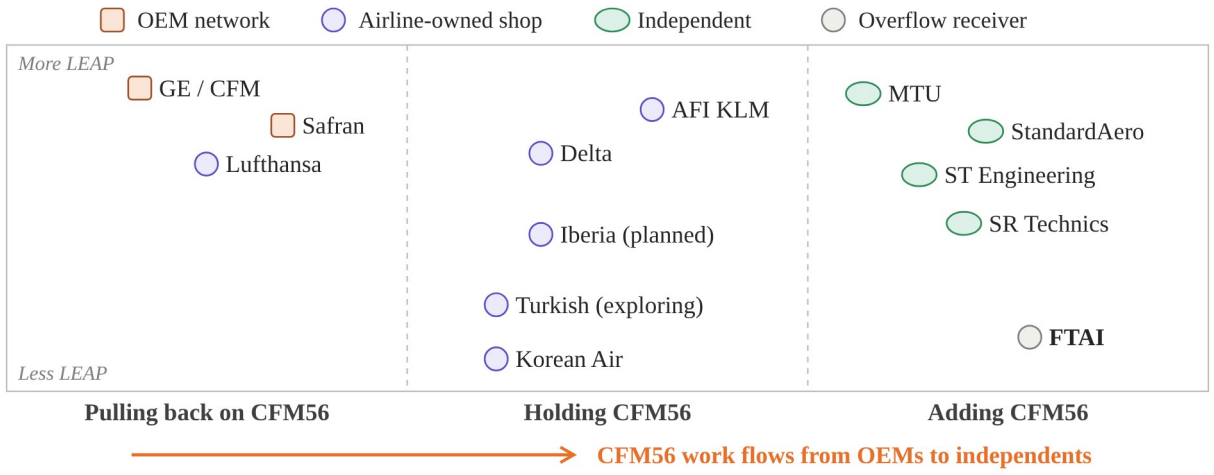
PMA through SCI and price pass-through rebuild margin to 32.5%; one more ~30% print re-rates a business priced at ~7x.

Source: Chromalloy / FAA, Aviation Week, AviTrader, SR Technics catalogues, FTAI filings

1. 1-yr base SOTP (NTM ≈ ¼ FY27E + ¾ FY28E), holding Power 10x, Leasing + SCI 9x and Sep-27 net debt.

Thesis II: Variance on CFM56 Life – LEAP Can't Replace It and Fuel Hasn't Moved It

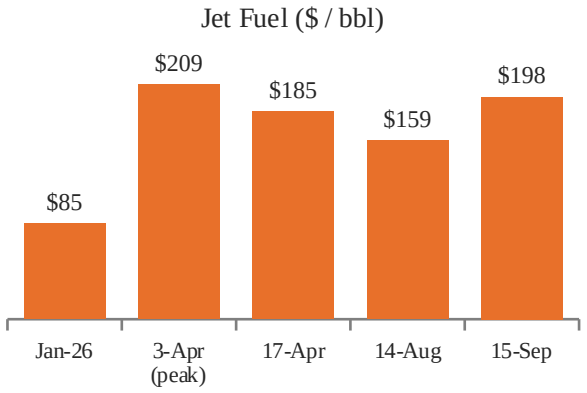
Every tier-1 shop is adding LEAP; OEMs are trimming CFM56, independents are catching it, and Lufthansa now sends its own out.

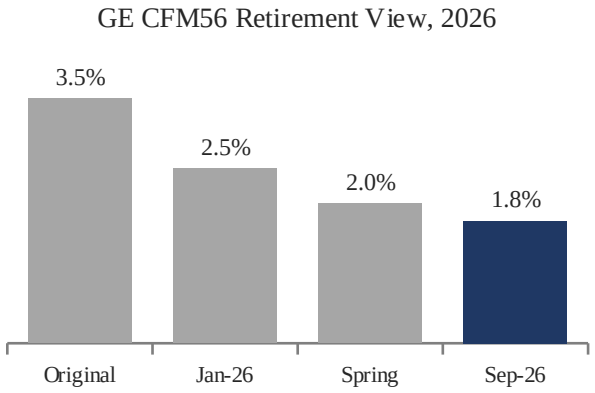


Shops (14)	Reviewed	Add LEAP	Pull back CFM56	Win CFM56 work
Airline-owned	8	8	1	3
OEM network	2	2	1	2
Independent	4	4	–	4

- **OEMs:** all new sites LEAP-only (Brazil, India, Mexico, Belgium); CFM gives up Ryanair CFM56 labor from 2029 – its largest CFM56 account – keeping only parts
- **First airline flip:** Lufthansa Group sends its own CFM56 to FL Technics (Oct-26) as Hamburg turns LEAP
- **Moving to independents:** EVA Air → MTU (first non-OEM, May-26); United → FTAI CFM56-7B MRE (Oct-26)
- **Counter:** Korean Air keeps CFM56, outsources LEAP; independents add CFM56 too – overflow is real, but contested[1]

Bears fear the 2026 fuel shock accelerates retirements – the data shows parked CFM56s falling, not rising.





- **Parked CFM56s down since March:** "no meaningful change in customer behavior" – GE CEO, Jul-26; Safran H1 spares up 27.9% on CFM56; Q1 retirements <1%
- **Airlines trimmed growth and hedged, not parked:** United –5%, Delta –3.5% growth; Ryanair 80% hedged at ~$67
- **Replacing an NG on fuel alone** breaks even only at a sustained $170–200 / bbl – and needs a slot that isn't there[3]
- **History:** 2022 fuel +95–150%, retirements only 325 vs. 502 in 2019

Bear watch: all-type retirements +15% in 9M26 (low base), Spirit's ~57 A320ceos back to lessors, GE sees ~3% in 2027 – retirements also feed FTAI's feedstock

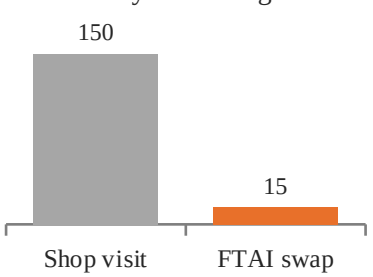
LEAP can't replace the CFM56 before 2027–28 and fuel hasn't moved retirements: demand holds at ~2,400 visits a year.

Source: Company Releases, GE / Safran, IATA / Platts, Aviation Week

1. Flip tracker (14 tier-1 shops, Oct-26): public sources; a floor.
2. Fuel: IATA / Platts avg.; Jan, 15-Sep USGC.
3. Estimate: 15% fuel saving vs. $2–2.6M / yr MAX lease premium.

Thesis II: Variance on Share – FTAI Fills the Whitespace With Capacity Already Built

FTAI takes the CFM56 visits the LEAP-focused shops can't turn fast enough: an engine back in weeks, not months.



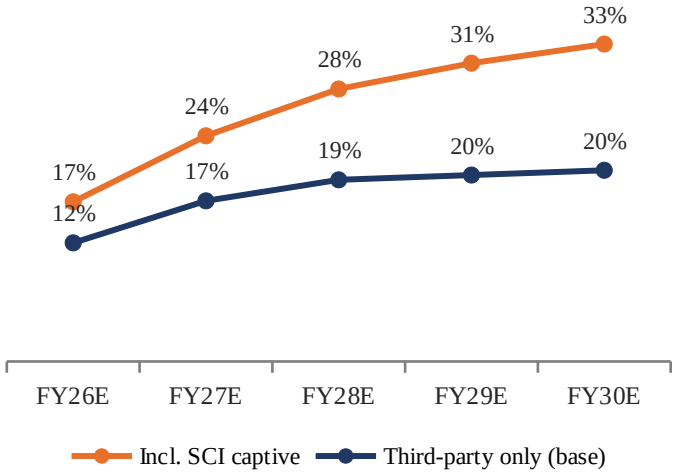
Test cells: LEAP now shares CFM56's scarcest slot[1]

Engine test cells tracked (18)	Cells
Existing cells adapted to test LEAP	**9**
...still testing CFM56 (where disclosed)	4 of 4
...dropped CFM56	**0**
New cells built for LEAP	7
New cell built first for CFM56 (Willis + GEM)	**1**

"Ongoing shortage of testing capacity" – Willis Lease; "Europe-wide testing capacity constraints" – SR Technics

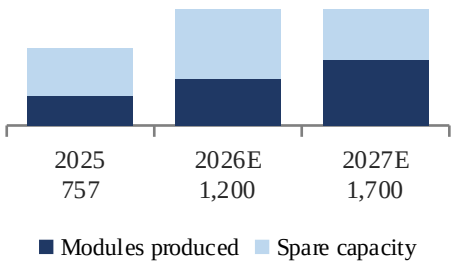
Edge	FTAI	OEM / large MRO shops
Feedstock	1,000+ owned engines; run-outs; AAR USM	OEM parts at list (+6% / yr)
Parts	PMA (3 of 5), USM, in-house repair	HPT blade shortage; OEM parts only
Slots	~1,800 spare modules (2026)	Waits +2–6 mo.; capex to LEAP
Test	Rome adding a cell; Jakarta, Cairo come with cells	LEAP competes for same cells

FTAI's share of CFM56 module demand



- **Proof:** share ~10% → 14% (1H26) → ~15% (Q3); Q3 built 311 modules, up 50% y/y
- **Guide raised twice:** 1,000 → 1,050 → 1,200 (2026), reaffirmed Q3; 1,700 in 2027
- **United** expanded to a multi-year CFM56-7B MRE (Oct-26)
- Bull case: third-party alone reaches 25% by FY31

The capex is already spent: 3,000 modules of capacity vs. 1,200 produced, with Jakarta and Cairo adding volume in 2027.



Shop	Role
Montreal / Miami	Core module shops
Rome	QuickTurn; adding test cell
Lisbon	+113k sq ft; 300+ modules
Jakarta (GMF)	**Heavy repair; 200+ techs; 5-yr deal (Sep-26)**
Cairo (EgyptAir)	**-7B; ~120 techs; test cell**

2,386	× 3	× 16.8%	+ 482	= 1,687
visits	modules	3rd-party share	SCI	FY27E

- **Partner-funded growth:** Jakarta and Cairo are partner shops with guaranteed capacity – volume adds need working capital, not new buildings
- **Each +1 pt of third-party share** ≈ 70 modules ≈ $65M EBITDA ≈ $10 / share at 16x
- **Downside covered:** independents (StandardAero, ST Eng., SRT, MTU) also chase the overflow; our bear case caps share at 15% and still yields $173

With slots built and partners funding new shops, FTAI reaches ~25% of CFM56 module demand; each point of share is ~$10 / share.

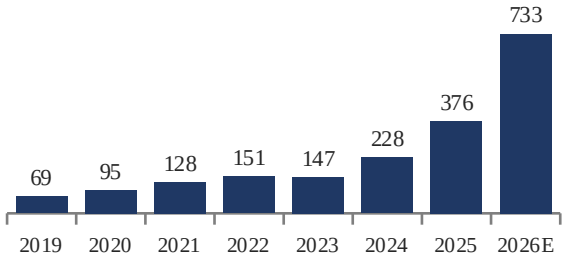
Source: FTAI Calls and Supplement, United / FTAI (Oct-26), GMF / FTAI (Sep-26), Willis Lease, SR Technics, In Practise

1. Test cell tracker (18 cells, Oct-26); no public case of a cell dropping CFM56 for LEAP.
2. Physical capacity 2,000 (2025) and 3,000 modules (from Q2'26) per management.

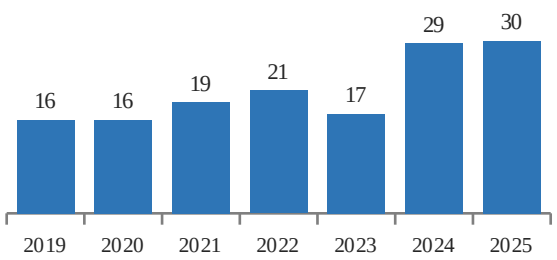
Thesis III: Variance on Power – The Grid Gap Is Where the First Order Came From

Hyperscaler capex is outrunning contracted power – and NERC reserves go short from 2029.

Big Four Capex ($bn)



US Corporate PPAs Signed (GW)



- Capex and PPAs tracked each other for a decade (0.89 correlation); in 2025 capex rose 65% while PPAs were flat at ~29.5 GW
- **Our build:** $733bn × 65% US × 25% facility ÷ $12M / MW ≈ 9.9 GW of shells funded in 2026 alone

Reserve Shortfall (GW)



- US DC demand 298 → 746 TWh (2026–31)
- ERCOT large-load queue ~475 GW, 90% data centers
- PJM auctions cleared ~6.8 GW short (2028/29)
- Grid interconnection: median >5 yrs
- OEM gas-turbine backlog ~220 GW; new slots 2028 onward

~57% of hyperscaler power contracted lands 2029 or later – a 2–3 year gap only fast, on-site generation can fill

The $1.465bn first order came from a site at exactly that stage: built, energized on mobile gas, and out of turbines.

Term	The order (22-Jul-26)
Seller	J&F Power Systems (FTAI × Jereh JV)
Buyer	"Leading international cloud provider" – reported xAI
Size	$1.465bn initial PO; 5-yr MSA, re-order w/o renegotiation
Implied	~58 Mod-1 units at ~$25M ≈ 1.45 GW
Delivery	Batches through Nov-27; advance + milestone pay

What "the xAI stage" looked like (Colossus 2 / Southaven)

1	**Shell built, GPUs committed**	~1 GW live Jan-26; $20bn Southaven DC under way
2	**No grid for the next phase**	MLGW supplies no power to Colossus 2; no TVA allocation
3	**Behind-the-meter gas permitted**	41 turbines (~1.2 GW) permitted Mar-26; gas lateral in place
4	**Incumbent supply tapped out**	Solaris ~900 MW fleet committed; OEM aero slots 2028 onward

Diligence flag: FTAI hasn't named the buyer; the xAI link rests on Jereh gensets on the Southaven equipment list (CV Research). The order is signed either way.

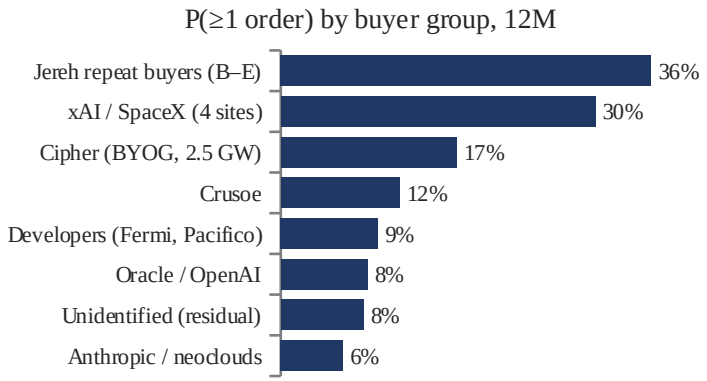
The grid falls 8–47 GW short from 2029; sites at the first buyer's stage need power in 2027–28 that only mobile units can deliver.

Source: Company filings (AMZN, GOOGL, META, MSFT), BCSE / BNEF, NERC 2025 LTRA, ERCOT, PJM, FTAI release (22-Jul-26), MDEQ, DCD, SemiAnalysis

1. Regional model: NERC demand vs. anticipated capacity + 67 tracked hyperscaler power agreements.

Thesis III: Variance on Power – A Pipeline at the First Buyer's Stage and a Right to Win

Our site-level model put the odds of another J&F order at ~75% (61% ex-xAI) – Q3 then disclosed >100 units under contract.



75% — 60/40 blend: site-level 71%, top-down 82% (56–97%)

61% — From a customer other than xAI – the option is not one buyer

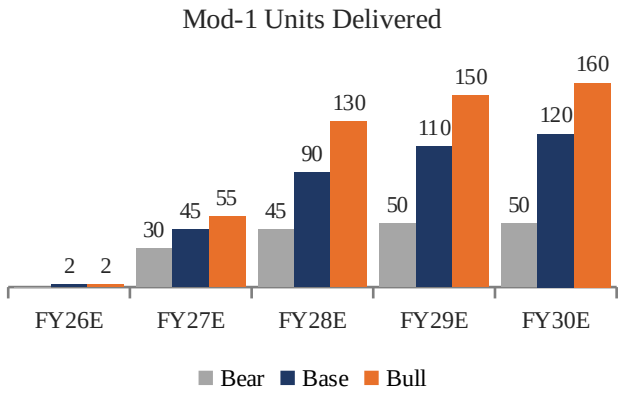
51–71 — 2027 Mod-1 units left after the first order: room for 1–3+ more

Top-down: Jereh wins ~4 DC orders / yr × 45% routed to J&F × 95% disclosed → λ ≈ 1.7.

Most likely next buyers	Why the gap is open	p	Gap MW
Cipher BYOG sites (TX)	2.5 GW of gas laterals; generator not selected	15%	600
xAI Minihard (Memphis)	4th DC, 2027 load; power source undisclosed	12%	350
Jereh buyers C / D / E	~$820M of 2027 gensets; repeat via packager	11% ea.	550
xAI Southaven	69 temp turbines retire Aug-26 to Jul-27	11%	575
xAI Doosan frame sites	Bridge power until 2027–28 combined cycle	9%	500
Crusoe Abilene (Microsoft)	Cancelled 1.2 GW Boom order 25-Sep-26	8%	250
Fermi Matador (TensorWave)	222 MW lease from H2-27; leased TM2500s	7%	214

Locked out: Jupiter → Bloom; Frontier → VoltaGrid; Prometheus → Williams; Kilby, Homer City → GE 7HA. Typical non-xAI Jereh order: $100–341M (3–11 units).

FTAI can roll units faster than the street models – and its units are cheap, available now and mobile.



- **Feedstock in hand:** 1,000+ owned CFM56s; no new hot section
- **Capacity:** 100+ units / yr; ~$400M of Power WC built / planned
- **Packaging outsourced** to Jereh (US, Canada, UAE, China)
- **Base 45 units FY27** vs. >100 under contract for 2027–28 (Q3'26) and mgmt's 100-unit 2027 plan
- **Path:** launch Dec-25 → order Jul-26 → testing done (25 MW peak, Q3) → $234M deposits → deliveries 2027

Supplier	Earliest slot	$ / kW
FTAI Mod-1	**2027**	**~$1,000**
GE Vernova aeros	2028–30	$1,400–2,000
MHI / Siemens frames	2028–30 / 3+ yrs	~$2,000+
Boom (Crusoe exited)	250 MW 2027	~$1,030

- Turbines ≈ 13% of shell cost (~2% all-in)
- Idle AI site ≈ $1M / MW / month → a $1M/MW unit pays back in ~1 month
- **Mobile:** redeploys when the grid arrives

FY27E	Units	Power EBITDA	Value @ 12x
Signed order only	45	$450M	$52 / sh
+1 contract (~1 GW)	~90	~$750M	**+$35 / sh**
+2 contracts	~130	~$1.05bn	**+$70 / sh**

Power is a call option now paying: >100 units under contract vs. 45 in our FY27 base, and each ~1 GW more adds ~$35 / share.

Source: Jereh filings / order ledger, Company releases, TCEQ / MDEQ filings, Cleanview, Epoch AI, DCD, GE Vernova / Siemens Energy / MHI Q2'26, GridLab, JLL, FTAI calls

1. Site-level P = S × [1 – Π(1 – p_i)] + (1 – S) × P(E | shock), S = 0.855, 37 sites + residual; Chinese-supplier risk excluded. $ / share at 12x, 104.0M shares.

Valuation – 1-Year Target of $304 (+54%) With ~3x Reward-to-Risk

($ in millions, except per share)

We value FTAI as of Oct-27 on NTM EBITDA (¼ FY27E + ¾ FY28E) and net debt at Sep-27 – a 1-year hold.

Base case: sum of the parts at Oct-27

Segment	NTM EBITDA	EV / EBITDA	EV	$ / share
Aerospace Products	1,825	13.7x	24,943	$239.8
FTAI Power	788	10.0x	7,875	$75.7
Aviation Leasing + SCI	444	9.0x	3,994	$38.4
Corporate & eliminations	(213)	12.0x	(2,565)	($24.7)
Enterprise value	**2,843**	**12.0x**	**34,247**	**$329.3**
(–) Net debt (Sep-27E)			(2,566)	($24.7)
(–) Preferred			(65)	($0.6)
1-year target (equity / share)			**31,616**	**$304.0**
Return vs. $198.00				**+54%**

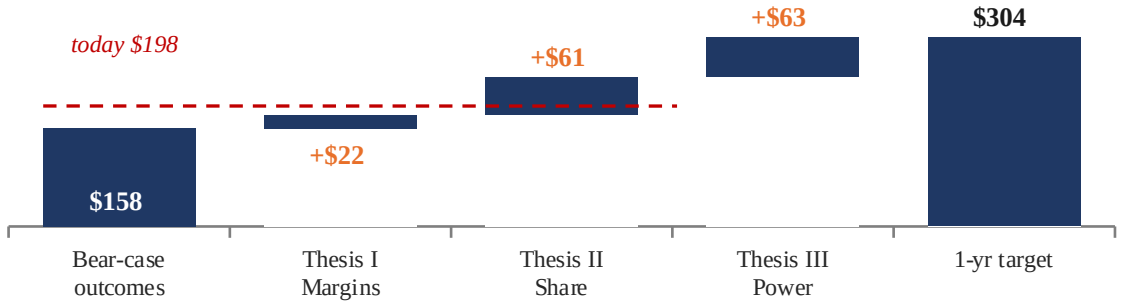
Multiples: Aerospace 13.7x (a discount to aftermarket peers), Power 10x (contract risk), Leasing + SCI 9x; corporate at the blended multiple.

Bear / base / bull

	Bear	Base	Bull
I. Margins	Short thesis right: stuck at 28.5%, no PMA	~30% is the trough; price + PMA via SCI rebuild	Light-work mix returns; full PMA ramp
II. Share	Fuel shock bites; share stalls at 15%	Retirements ~2%; FTAI catches OEM overflow	Overflow flows to FTAI; 25% share
III. Power	Ramp slips; half the JV economics	Signed order delivered; ramp to 90 units	One more ~1 GW contract
Fraud discount	Persists	Partly closes	Fully closes
1-yr target	**$114**	**$304**	**$430**
Return / probability	**–43%** / 20%	**+54%** / 60%	**+117%** / 20%

Probability-weighted: $291 (+47%)
Reward / risk: +117% / –43% ≈ 2.7x

Today's $198 pays for margins holding ($180) and ~30% of share – Power is still free: margins +$22, share +$61, Power +$63.



Cross-checks

DCF rolled 1 yr	Target
Bear	$111
Base	$337
Bull	$425

Ex-Power base: **$234**, 18% upside

EV / NTM: 11.8x today → 12.0x

Base target: Aero × Power multiple

Aero \ Power	6x	8x	10x	12x
12x	$249	$263	$277	$291
13.7x	$276	$290	**$304**	$318
16x	$314	$328	$342	$356

12x Aero, 6x Power: **$249**, 26% upside

Base $304 (+54%) in 12 months; probability-weighted $291 (+47%); bear $114 (–43%) – roughly 3x reward-to-risk.

Source: FTAI filings (Q3'26); $198.00 (11/9/26); 104.0M diluted shares (pre-ASR)

1. NTM ≈ ¼ FY27E + ¾ FY28E. Bridge: each thesis's model drivers switched bear → base in order, at base multiples.

Catalysts & Risks – Risks Sit in the Bear Case; Catalysts Land Within the Hold

Risks	Mitigants	Catalysts
Margins keep falling (Thesis I) Heavier workscopes and a thinning supply of cheap engines take Aerospace margin below 30%, and the market keeps reading every print as the short thesis unwinding. **Value at risk:** ~$22 / share (Thesis I, bear vs. base).	**Little cheap stock left to unwind** Leasing-sourced engines are <8% of inventory and flows now run back to leasing. Heavy mix is capacity-capped and United is signed. Q3 printed 31%; our bear case holds 28.5% – worth $158, 20% below today.	**Q3 delivered 31% and >100 Power units; one more ~30% print re-rates the stock within 12 months.**
Fraud overhang never clears (Thesis I) Muddy Waters or a follow-on short revisits inventory accounting; the governance discount persists even if margins hold. **Value at risk:** each turn of Aerospace multiple is ~$16 / share.	**Claims reviewed; capital returned** Audit-committee review found the claims without merit; no restatement. Buyback doubled to $1.0bn with a $500M ASR (Oct-26), and the 10-Q transfer disclosures let anyone track the stock.	**GE Q3 call (20-Oct-26) ✓ | Thesis II** CFM56 visits at the top of 2,300–2,400; retirements below ~2%; the fleet is "still young"
CFM56 retires faster or LEAP catches up (Thesis II) The 2026 fuel shock or LEAP durability fixes push airlines to park CFM56s; independents (StandardAero, ST Eng., SRT, MTU) take the overflow instead of FTAI. **Value at risk:** ~$61 / share (Thesis II).	**Retirements falling; FTAI's edge is speed** GE (Q3): CFM56 retirements below ~2% vs. an original 3–4% plan; visits at the top of 2,300–2,400. Retired jets become FTAI feedstock (WestJet). A 5–25 day swap with owned parts beats a 120–180 day shop visit.	**FTAI Q3'26 (29-Oct-26) ✓ | Thesis I** Aerospace margin 31%, 311 modules (+50% y/y); guide reaffirmed; $1.0bn buyback
Power slips or the buyer walks (Thesis III) Mod-1 deliveries slip past Nov-27, output misses spec, or – like Crusoe with Boom – the customer walks. Jereh's Chinese ownership adds tariff / supply-chain risk. **Value at risk:** ~$63 / share (Thesis III).	**Signed, paid for, and not in the price** Signed PO with advance and milestone payments; output penalty capped at 10%. Testing hit 25 MW; >100 units now under contract vs. 45 in our base. Jereh packages in the US, Canada and UAE. Ex-Power, the target is still $234, 18% upside.	**Investor day (10-Dec-26) | I, II, III** 2027 framework: 1,700 modules, Jakarta / Cairo ramp, SCI II size, Power backlog
		Q4'26 + FY27 guide (Feb-27) | Thesis I Second ~30% print: 30% stops reading as a waypoint
		Power deliveries (2027) | III >100 units under contract for 2027–28; first revenue in 2027; each ~1 GW more adds ~$35 / share

Source: Company Filings and Calls, Muddy Waters, GE Aerospace, J&F order release (Jul-26), TechCrunch (Boom–Crusoe)

1. Value at risk from the valuation bridge (bear → base by thesis). ✓ = already reported.